

MODULE 6

MANANAGING HUMAN RESOURCES

OVERVIEW:

The success of a small business will depend largely on the skill and motivation of its human resources. If the employees work as team, the competitive stance of these firm will be enhanced, making it easier for the firm to accomplish its objectives. This will require however, a systematic approach to the management of human resources.

Human resource management does not just handle the recruitment of new employees; it also oversees redundancy for companies that want to downsize. HR management also oversees orientation programs to introduce new employees to the company's goals, objectives, and policies. Overall, human resource management guarantees the smooth running of employees within a company.

LEARNING OUTCOMES:

After successful completion of this modules, you are able to:

- A. Describe the functions of Human Resource Management
- B. Discuss the importance of Human Resource Management
- C. Explain the role of HR Manager
- D. Identify the different recruitment, selection process
- D. Understand interview and compensation benefits

COURSE MATERIALS:

HUMAN RESOURCE MANAGEMENT DEFINE:

Human resource management is the process of putting the right people with the right skills in the right place of the right time with the right motivation in order to accomplish strategy. Human resource management refers to the process of recruiting and developing a company's workforce. The HR department is concerned with identifying talent gaps in a company, advertising for positions, evaluating potential candidates, and hiring top talent.

FUNCTIONS OF HUMAN RESOURCE MANAGEMENT

- Recruitment
- Compensation of Employees
- Designing work.

PRINCIPLES OF HUMAN RESOURCE MANAGEMENT

1. Commitment

One aspect that the HR department tries to deal with is job security. To guarantee job security, many employees know that the firm demonstrates its long-term commitment to the workers by

providing regular training, performance evaluations, and goal-setting activities need to show commitment to the company and their job duties.

2. Competence

Competence is one of the core principles that supports a company's growth and development. It is also an aspect that affects employees' job satisfaction and how the company benefits society. The success of a firm depends on the competency of its employees. The HRM department tries to sustain workforce competency by providing training opportunities.

MAIN FUNCTIONS OF HUMAN RESOURCE MANAGEMENT

1. Employee Recruitment

Recruitment is the process of identifying talent gaps in a company and finding the right people to fill the roles. There are four stages in the employee recruitment process:

Job analysis – This involves defining the various aspects of a job through job description and specification. Through job description, the HRM department identifies the tasks required for a specific job while the latter defines the requirements an individual needs to fulfil that job.

Sourcing – This encompasses the different techniques a company employs to attract potential candidates to fill a given position. This can be achieved through internal and external advertisements.

Screening and selection – This is the process of evaluating the candidates who apply for the job. The evaluation is performed to determine the skills, qualifications, competency, and job-related experience that potential candidates bring to the table.

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Selection of the right candidates – Once the best candidate has been selected, the next process that follows is on boarding. This is simply helping the new recruits become productive members of the company.

2. Employee Orientation

Another core function of human resource management is employee orientation. Also known as on boarding, it is the process of teaching new recruits the necessary skills, knowledge, and behaviors so that they can transition to the new company effectively.

Employee orientation is a broad process conducted by the HR department, and it's done through different methods, including lectures, meetings, videos, mentoring, and team-building exercises. The main objective of the orientation is to provide new recruits with adequate information regarding the company's targets, rules, policies, and activities.

3. Employee Development

Employee development refers to all the efforts for improving personal, team, and organizational effectiveness. One aspect the human resource department tackles is talent development. This involves aligning the employees' skills with the company's needs. In addition to hiring, training, and orienting employees, HRM should also improve their career opportunities.

IMPORTANCE OF HUMAN RESOURCE MANAGEMENT

1. **To maintain quality of work life**-Quality of work life is concerned with the employee's perception of physical as well as psychological wellbeing at workplace and it can be obtained by maintaining work autonomy, work freedom, job recognition, belongingness, rewards, etc.
2. **To increase productivity and profit** - Human resource management ensures right quality and quantity of personnel in workplace, apart from which, it creates opportunities to facilitate and motivate individual and group of employees to grow and advance their career.
3. **To produce employees who are easily adaptable to change** - Training and development programs keep employees updated with skills necessary to adjust with alteration of organization's environment, structure and technology.
4. **To match demand and supply of human resource** - Human resource management probes existing human resource in certain interval of time to identify if the company has adequate number of workers, human resource management performs activities like recruitment and selection to balance the need.
5. **To retain employees and motivate them to accomplish company's goal** - HRM performs tasks like providing fringe benefits, compensation and rewards to the deserving employees.
6. **To recognize merit and contribution of employee**- Human resource management performs timely appraisal of employee's performance in order to recognize excellent and poor workers.
7. **To create a feeling of belongingness and team spirit in the employee** - As teamwork demands contribution from every team member, HRM focuses on making each and every employee feel valued so that employee contributes best from their side.
8. **To sustain business in the market** - Human resource management makes sure that the company has the best employee because promising employees are capable of taking their company ahead in the race by delivering excellent results.
9. **To resolve conflicts** - Conflicts are inevitable and they should not be ignored. Human resource management acts as a consultant to sort out such conflicts timely and conduct other organizational activities smoothly.
10. **To develop corporate image** -Every company should maintain good public image in order to sustain in the market. Any individual would like to work for companies which are known for moral and social behavior.

ROLE OF HR MANAGERS

Recruitment: One of the major responsibilities of a HR manager is to recruit personnel. The success of an organization largely depends on the workforce employed, so it is essential that the right people are hired for the right role.

Learning and development: HR managers are responsible for the orientation and induction of new employees, as well as the professional development of existing employees. They are responsible for strategizing development programmes.

Building employee relations: Effective employee relations go a long way in boosting productivity and contributes significantly to an organization's success. Employee relations strategies are implemented to ensure that an organization caters to the overall well-being of employees.

Compensation and benefits: They are responsible for devising compensation strategies, performance management systems and compensation structures, as well as negotiating pay and benefit packages with potential employees.

IMPORTANCE OF HR MANAGERS IN ORGANIZATIONS

Strategy management: HR managers manage strategies to ensure the organization reaches its business goals, as well as contributing significantly to the corporate decision-making process, which includes assessments for current employees and predictions for future ones based on business demands.

Benefits analysis: HR managers work towards reducing costs, such as with recruitment and retention. HR professionals are trained to conduct efficient negotiations with potential and existing employees, as well as being well-versed with employee benefits that are likely to attract quality candidates and retaining the existing workforce.

Training and development: Since HR managers contribute significantly to training and development programmes, they also play a pivotal role in strengthening employer-employee relationships. This contributes to the growth of employees within the company, hence enhancing employee satisfaction and productivity.

Interactivity within employees: HR managers are responsible for conducting activities, events and celebrations in the organization which gives way to team building opportunities.

Conflict management: The department to go to when any kind of professional conflict arises between employees is HR. They ensure that issues and conflicts are resolved effectively, approaching the problem with an unbiased attitude and encouraging effective communication to reach a solution.

Establishing a healthy work culture: A healthy work culture is pivotal in bringing out the best in employees. HR managers contribute significantly in setting up a healthy and friendly work culture, which further translates into better productivity among employees.

SOURCES OF RECRUITMENT

1. Job Boards. Think of where your talent pool would go to find a job—if you're looking for a graphic designer, post your job on boards that designers usually visit.

2. Company Website. Posting all job opportunities on your company's website is a given. Whether candidates arrive there directly or are directed there from another site, this is the place where all your recruiting lives.

3. Social Media. LinkedIn, Google+, Facebook, Twitter, among others—these social media networks are key recruiting sources. Yet social media is not just for posting jobs; it also offers an opportunity for a conversation. It's a place where you can promote your company's brand and contribute insightful information about your company and industry.

4. **Referrals.** Consider offering referral incentives, like bonuses. Make sure your employees know that they can refer candidates to current openings. Establish a system for doing so, whether it's having the employee submitting the candidate's resume for him or specifically asking for an employee referral in all your job applications.

5. **Direct Contact.** Similar to employee referrals, direct contact leverages current employees specifically going after a candidate. These employees seek out candidates, cultivate relationships, and bring them in as referrals when the right time comes.

6. **Temp-to-Hires.** Another way to bring in new employees is through temporary or part-time employment first. Portals that help you find temporary and seasonal employees can all be seen as a recruiting source.

7. **Career Fairs.** Having a company presence at career fairs puts you in the center of a pool of candidates. Also consider career fairs at colleges and universities, which offer a great opportunity to reach a pool of potential entry-level candidates.

8. **Agency.** Recruiting agencies can be cost-effective options for finding top candidates from wider talent pools, or to find heavily sought-after candidates in more specialized industries.

9. **Newspapers.** Depending on the job and the industry, more of the candidates you're looking for may rely on print job ads when searching for openings.

SELECTION PROCESS

Selection process can be defined as the process of selection and shortlisting of the right candidates with the necessary qualifications and skill set to fill the vacancies in an organization. The selection process varies from industry to industry, company to company and even amongst departments of the same company.

Steps in Selection Process

1. **Application** - can and should be selection tools, helping you sort candidates as qualified or unqualified.

Gamification - Gamifying your recruitment process isn't a new trend, but with the progress of technology. You can shortlist promising people and your hiring team will have better chances of interviewing only a few truly qualified candidates.

2. **Resume screening.** Now that you have wrapped up the application phase of the employee selection process, you have a collection of resumes or CVs to sift through and filter those deemed suitable for a screening call.

Background. You'll want to know if they have the academic knowledge or professional expertise – or both – to perform a job well.

Resume layout. The skill of organizing and presenting information in a clear and concise way is on full display here.

Consider the following examples of how a resume's layout can offer a quick demonstration of a candidate's skill set:

- If you're looking to fill a creative position – such as graphics or web design – the resume layout can be a powerful indicator of how well they can design.
- If you're looking to fill a sales position, the manner in which they present a resume can show you how they might be able to catch your client's eye with important, relevant information to convert them into buyers.
- If you're looking for a marketing copywriter, the resume shows their ability to describe things in a tight, concise and engaging manner.

Cover letter

Describe their skills and background in a relevant way to the position being applied for? Show their knowledge of your company and its goals, and how they can contribute? Write in a professional, error-free manner that reflects their ability to communicate via email and other channels?

Intangibles

It may initially seem corny to list one's hobbies and personal interests in a resume, but even those can be great indicators of the kind of person applying for the role.

Unconscious bias. As through every step of the employee selection procedures, you want to keep your unconscious bias in check. Maintain that awareness as you sift through resumes.

3. Screening call. The screening call, or phone screen, is among the initial hiring stages where recruiters shortlist applicants. The purpose of this call is to establish whether the candidate is truly interested in the job and (at least) minimally qualified to do it successfully. This way, only the best applicants will go to the next, stricter (and more expensive) hiring stages, like assessments and in-person interviews, saving your team time and money.

Schedule a phone screen. The email you'll send to candidates to schedule a screening call is important; that's because it may very well be your very first communication with that candidate. So this is your chance of setting the tone of your relationship with that candidate and, who knows, future employee.

Prepare well beforehand. The key is to prepare thoroughly: know exactly what you're looking for and what you want to learn about each candidate, as well as what information you'd like to convey, before you begin with the selection process.

- **Write down your requirements.** You probably already know the basic qualifications you're looking for, so make a list of basic ones you'd like to check during the screening call."
 - **Read candidate resumes.** This is important for two reasons: you'll show candidates that you're serious about their application, and you'll be able to spot discrepancies you can ask about.
 - **Make sure you can answer basic questions.** To persuade a good candidate to complete and assessment or come in for an interview, you should pitch the position and your company effectively.
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- **Select the right questions.** So make sure you address both those points during the screening call (without going into too much detail in terms of skills – reserve these questions for later hiring stages).

4. Assessment test. Once you've screened candidates and sorted them out into "promising", "maybe", and "disqualified" groups, you want to look at the surviving candidates and further assess their ability to do the job you're looking to fill. These assessments can take place in a multitude of forms in the selection process:

An in-person audition for an acting position, a sales job where you request the candidate to pitch you a product, or a kitchen position where you ask them to cook something for you on the spot.

- A written or online test to test for aptitude, personality, intelligence, etc.
- A practical skills test to determine a candidate's typing speed, data entry capabilities, memory, etc.

Navigate the assessment stage effectively

Communication is key. Explain clearly to candidates the scope and purpose of the assessment, so they understand fully why you're doing it.

A follow-up interview – separate from other interviews – dedicated to this particular assessment can shed valuable insight on how candidates worked on the project and their takeaways and learnings from it.

5. In-person interviewing

You're now deep in the selection process, having screened candidates, evaluated their skills, assessed their abilities, and created a shortlist of the most qualified people.

A list of job-related questions that assess how well candidates can manage regular job duties. You can ask a mix of:

- Role-specific questions, to evaluate candidates' knowledge and experience
- Soft skills questions, to identify candidates who are good not just on paper
- Situational questions, to learn how candidates would address different scenarios and issues that may arise on the job
- Behavioral questions, to discover how candidates have previously handled professional challenges

Cultural fit questions that will help you pick these candidates who are more likely to thrive in your work environment. For example, you could ask:

- Career goals questions, to find candidates whose professional goals align with your business objectives
- Collaboration questions, to identify team players
- Adaptability questions, to learn which candidates are more flexible and will have a smooth transition to their new role if hired

Schedule interviews at least two or three business days in advance. Surely, if you've found the perfect candidate or if you're in a rush to close an open role, you want to speed up the process. But, calling candidates to ask them to meet on the same or next day could send the wrong message and make you look desperate.

Provide candidates all necessary information. This includes:

- the exact day and time of the interview, taking into consideration different time zones if you're interviewing remote candidates
- the address of your offices along with directions on how to get there (or, instructions on how to log in to a video platform, in case of a video interview)
- the names and roles of the interviewers
- the scope of the interview (e.g. "We'll go over your assignment" or "You'll meet with the CEO")
- the estimated duration of the interview

6. Background checks

Background checks reassure you that your finalists are reliable and don't pose risks to your company. In fact, there are several types of background checks including:

- Criminal records
- Credit reports
- Driving records
- Verification reports (e.g. identity, education, work history, social security number).

Consider legal aspects of background checks

- First, some background checks are mandated by law in certain industries or roles depending on location.
- Choose a reputable and reliable background check provider
- Navigate discussions with candidates appropriately. The law in many places mandates that you ask candidates' permission before you conduct checks in an employee selection process.
- Interpret results correctly

7. Reference checks

This way, you'll get feedback about their performance from people they've actually worked with in the past, such as former managers, former colleagues or business partners and clients.

During reference checks, you will:

- Confirm what candidates have already told you (e.g about time of employment and previous job responsibilities)
- Learn how candidates use their skills on the job
- Discover potential weaknesses or lack of practical experience
- Understand how candidates behave in the work environment (e.g. if they're punctual, if they receive feedback well, etc.)

INTERVIEW DEFINE

An interview is a formal meeting at which someone is asked questions in order to find out if they are suitable for a job or a course of study.

Two kinds of Interview:

1. **Structured interview** is a series of job-related questions with standardized that are consistently applied across all interviews for a particular job.
2. **Unstructured interview** consists of a loose interchange of question and answers between an interviewer and the job candidates.

Training and development define

It refers to attempts made to improve employee performance through learning. The general aims of training and development are:

- To teach specific skills, like how to operate a computer and others.
- To improve organizational process, like designing new products.

Two classification of Training

A. **On-the-job training** is one conducted while employees perform job related tasks. On-the-job training allows employee to work under the guidance of an experienced employee who can offer advice and suggestions for performing the job efficiently and effectively.

B. **Off-the-Job Training** refers to internal and external programs to develop a variety of skills and to foster personal development that occurs away from the workplace.

COMPENSATION DEFINE

Compensation is the total cash and non-cash payments that you give to an employee in exchange for the work they do for your business.

DIFFERENT KINDS OF COMPENSATION

- Salary
- Hourly Wages
- Sales Commission
- Tips
- Stock Options
- Bonuses
- Incentive Pay
- Other Variable Pay
- Benefits (healthcare, paid leave, etc.)
- Non-monetary compensation (recognition, meals, etc.)

TYPES OF COMPENSATION

1. **Direct compensation** includes money paid to employees as cash, such as hourly wages, salaries, bonuses and commission. Wages and salary typically fall under the category of base pay whereas bonuses and commission fall under the category of variable pay.

2. **Indirect compensation** is still monetary in nature — meaning it has a financial value that can be calculated — but is not a direct payment in the form of cash. What is considered indirect compensation can vary across organizations but typically includes much of the benefits package that comes with employment, such as employer sponsored health insurance and employer contributions to an employee's 401(k) retirement plan. Stock options and profit sharing also usually fall under indirect compensation as can some other employee benefits such as tuition assistance or a company-paid gym membership.

3. **Non-monetary compensation** includes time off, flexible work hours, coaching and training opportunities, recognition and awards, some fringe benefits and other perks (like catered lunches or a company car) that may not be measured in dollar amounts as part of a compensation package but are still valuable to employees and make a difference in the workplace culture and overall attraction of the job opportunity.

PERFORMANCE APPRAISAL DEFINE

Performance appraisal is the process of evaluating individual job performance as a basis for making objective personnel decisions.

Types of Appraisal

1. **Straight ranking appraisals.** This compares all employees to each other, ranking them from best to worst. It also assumes that everyone is the same, and in reality a business needs a mix of different people and characters to succeed.

2. **Grading.** This systematic method that allows a manager to quickly see an employee's level for any given skill e.g. teamwork, communication, attention to detail etc.

3. **Management by objective.** This form of appraisal is a process rather than a one-off evaluation and it's all about planning and being proactive rather than reactive to events and circumstances.

4. **Trait and behavior-based appraisals.** Trait-based appraisals assess characteristics that contribute to an individual's personality, such as creativity, extroversion and confidence.

5. **Behaviorally anchored rating scale.** Half-way between behavior and trait-based appraisals, the behaviorally anchored rating scale aims to combine and benefit from both. It's particularly useful for employees who need to perform detailed tasks with accuracy but also need to possess certain traits such as empathy and caring.

6. **360-degree appraisals.** This method involves feedback from several people who have contact with each employee, keeping biases firmly at bay. 360-degree appraisal is hailed as the best approach because it's all-encompassing (the secrets in the name!) and can give such a well-rounded view of an employee.

This appraisal method has five integral components like:

1. **Self-appraisals.** Self-appraisals offer employees a chance to look back at their performance and understand their strengths and weaknesses. However, if self-appraisals are performed without structured forms or formal procedures, it can become lenient, fickle, and biased.

2. Managerial reviews. Performance reviews done by managers are a part of the traditional and basic form of appraisals. These reviews must include individual employee ratings awarded by supervisors as well as the evaluation of a team or program done by senior managers.

3. Peer reviews. As hierarchies move out of the organizational picture, co-workers get a unique perspective on the employee's performance making them the most relevant evaluator. These reviews help determine an employee's ability to work well with the team, take up initiatives, and be a reliable contributor. However, friendship or animosity between peers may end up distorting the final evaluation results.

4. Subordinates Appraising manager (SAM). This upward appraisal component of the 360-degree feedback is a delicate and significant step. Reportees tend to have the most unique perspective from a managerial point of view. However, reluctance or fear of retribution can skew appraisal results.

5. Customer or client reviews. The client component of this phase can include either internal customers such as users of product within the organization or external customers who are not a part of the company but interact with this specific employee on a regular basis.



Unit 18 Human Resources Management in Hotels
Assignment



READ:

Azarcon, Areola, Arguelles, Pablo-Barlis et al. Entrepreneurship Principles and Practices. First Edition. 2005, Valencia Educational Supply.

Carson, David. Marketing and Entrepreneurship in SME's: An innovative Approach First Edition. 2002. Pearson Education.

Lambing, Peggy A.: Entrepreneurship. Third Edition, 2002. Prentice Hall.

Medina, Roberto G. Entrepreneurship in Small Business Management. First Edition. 1996. Rex Printing Company. Inc.

Vaughn, Donald E. Financial Planning for the Entrepreneur. First Edition. 1997. Prentice Hill.

Activities Assessment:

1. Case Study

- Read the case study carefully.
- Analyze the situation and answer the guide questions briefly.
- Use concepts learned from Human Resource Management.
- Write your answers clearly, concisely and on your own words.

Employee Management Challenges in an IT Company

Hired several new employees for a software development project, including programmers, web developers, UI/UX designers, and technical support staff. After a few months, the project manager noticed several issues affecting the team's productivity.

Some employees struggled to complete tasks because they were unfamiliar with the company's development tools and project management systems. A few team members frequently missed deadlines, while others experienced misunderstandings due to poor communication during online meetings. Some employees also complained about stress, lack of recognition, and limited opportunities for training and career growth.

The HR department discovered that the company did not provide enough orientation and technical training for newly hired employees. In addition, performance evaluations were not conducted regularly, making it difficult to identify employee strengths and weaknesses.

To improve the project's performance, the HR department plans to strengthen recruitment and selection procedures, conduct employee training programs, improve communication among employees, and provide better compensation and recognition programs.

Questions:

1. What Human Resource Management problems were identified in the IT company?
 2. Why is employee orientation important for newly hired IT employees?
 3. What type of training should be provided to software developers and technical staff?
 4. How can HR managers improve communication and teamwork in the company?
 5. What compensation or benefits can motivate IT employees?
 6. Why is performance appraisal important in software development teams?
 7. What recruitment strategies can help the company hire qualified IT professionals?
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2. Case Study

- Read the case study carefully.
- Identify the Human Resource Management issues presented.
- Answer the questions using complete, concise and on your own words.
- Relate your answers to the concepts discussed in Human Resource Management.

High Employee Turnover in a Tech Startup

Partnered with a local tech start-up to develop a mobile application for online learning. The startup hired software developers, database administrators, cybersecurity analysts, and technical support staff to complete the project within six months.

After several weeks, the company began experiencing high employee turnover. Some employees resigned because of heavy workloads, unclear job responsibilities, and lack of communication with project managers. Newly hired programmers also found it difficult to adapt because they were not given proper orientation or technical training.

The HR department also discovered that employee performance was not being monitored regularly. Outstanding employees were not recognized, while employees with poor performance were not properly guided. Because of this, project delays and conflicts among team members became more frequent.

To solve the problem, the company decided to improve its recruitment and selection process, provide technical and soft-skills training, conduct regular performance evaluations, and introduce employee rewards and wellness programs.

Questions:

1. What HR problems were experienced by the tech startup?
 2. How did the lack of orientation and training affect the employees?
 3. What recruitment and selection improvements should the company implement?
 4. Why is communication important in software development projects?
 5. What performance appraisal method can help evaluate employees effectively?
 6. Suggest possible rewards or compensation that can motivate IT employees.
 7. As an HR manager, what recommendations would you give to improve employee retention?
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